EXECUTIVE SUMMARY

I. Introduction

Faire was founded on November 27, 1897 and got its name in honor of its founder, Captain Miguel Faire by virtue of Executive Order No. 2390 dated February 28, 1932. Sometime in December of 1971, during the incumbency of then Mayor Leandro Pagurayan, a resolution was passed changing the name Faire to Sto. Niño.

The Commission on Audit has adopted a risk-based audit approach that aligns the audit process more closely with the government's needs to improve the governance structure of agencies, particularly in the area of financial reporting; provides the users of the financial statements a higher level of assurance that agency's processes are designed and operating effectively; enables auditors to check compliance of agency with laws, rules and regulations and determine whether related compliance risks are properly addressed; strengthens accountability in the agencies; and recommends value-added deliverables and measures to improve the efficiency and effectiveness of government operations noted in the course of the financial audit.

II. Scope and Objective of the Audit

The audit covered the accounts and operations of the Municipality of Sto. Niño, Cagayan for CY 2024 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Accounts	2024	2023	Increase (Decrease)
Financial Position			
Total Assets	₱ 797,326,569.63	₱ 706,629,517.98	₱ 90,697,051.65
Total Liabilities	₱ 147,976,609.16	₱ 156,944,666.44	₱ (8,968,057.28)
Total Government Equity	₱ 649,349,960.47	₱ 549,684,851.54	₱ 99,665,108.93
Financial Performance			
Total Income	₱ 254,577,873.74	₱ 237,928,413.83	₱ 16,649,459.91
Total Expenses	₱ 199,587,749.35	₱ 184,536,583.85	₱ 15,051,165.50

Appropriations, Allotments and Obligations			
Total Appropriations – Current	₱ 225,663,150.66	₱ 246,736,014.20	₱ (21,072,863.54)
Total Obligations – Current	₱ 190,988,561.82	₱ 213,915,023.35	₱ (22,926,461.53)
Total Appropriations – Continuing	₱ 106,799,028.94	₱ 124,021,654.66	₱ (17,222,625.72)
Total Obligations - Continuing	₱ 28,062,801.31	₱ 37,949,383.79	₱ (9,886,582.48)

The table below presents the fund transfers received by the Municipality from other agencies totaling P18,878,600.00, with comparative figures for CY 2023. There were no funds transferred to other agencies during the year.

	2024	**2023**	**Increase (Decrease)**
Funds Received from:			
National Government Agencies (NGAs)	₱ 18,878,600.00	₱ 20,161,250.56	₱ (1,282,650.56)
Total	₱ 18,878,600.00	₱ 20,161,250.56	₱ (1,282,650.56)

IV. Operational Highlights

The LGU Sto. Niño is headed by the Municipal Mayor, Honorable Vicente G. Pagurayan, and Vice-Mayor, Honorable Andrew Vincent R. Pagurayan. For CY 2024, the Municipality had a total of 372 personnel complement, consisting of 117 permanent, 12 elective, 2 co-terminus, 22 contract of service and 219 job order status.

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fair presentation of the financial statements of the LGU Sto. Niño for the year-ended December 31, 2024, due to: *(a) Unreconciled balance of the Cash in Bank - LCCA amounting to P32,341,914.52; (b) Erroneous recording of Advance payments to contractors amounting to P36,936,963.18; (c) Improper recording of the Property, Plant and Equipment (PPE) in the Trust Fund books amounting toP40,231,915.46, respectively.*

VI. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2024 other than the bases for the modified opinion that needs immediate attention and action by the LGU Sto. Niño are as follows:

1. **Timely completion of nineteen (19) infrastructure projects implemented by the Municipality with a total contract amount of P93.069 million was not attained, because the Management did not establish the technical viability of the projects and conduct proper detailed engineering during the feasibility and preliminary engineering study phase, contrary to the provisions of Republic Act (RA) No. 9184 and the stipulated terms and conditions of the contracts, depriving the public of the benefits that could have been derived from the immediate and maximum use of these projects.**

We recommended that Management adhere to the requirements prescribed under Section 17.6 of the RIRR of RA No. 9184 regarding the conduct of bidding and award for infrastructure contracts by:

a) properly addressing issues such as RROW and viability of the project sites during the feasibility or preliminary engineering study prior to project implementation. These problems should be disclosed during the planning stage and extensively discussed when deliberations for the project's implementation are conducted with management officials and implementing offices to avoid unnecessary delays in the implementation of the projects;

b) thoroughly reviewing and evaluating the Program of Work to ensure that project designs and estimates are properly prepared and that all phases of the projects are covered to minimize variation orders and time extensions which often results in the increase of project cost and delayed completion; and

c) undertaking strict and adequate supervision and monitoring of the work of the contractors and impose appropriate sanctions such as liquidated damages against defaulting contractors, if warranted.

2. The Municipality disbursed P22.795 million for the payment of Job Order (JO) Personnel without existence of contracts and established policy guidelines, contrary to Section 4 and 124 of Presidential Decree (PD) 1445, which may not be responsive to and pose risks towards achieving the overall objectives and maximization of workforce of the LGU.

We recommended that Management, in coordination with the Sangguniang Bayan and the HRMO, prepare and execute formal contracts and policy guidelines relative to the hiring of JO personnel to clearly define their duties, responsibilities, terms of engagement and include a standardized compensation rates based on the nature and complexity of the work assigned, to ensure consistency and fairness in the remuneration of JO personnel.

3. The payment of a parcel of land amounting to ₱5 million was made without complying with the complete documentary requirements prescribed under COA Circular No. 2012-001 dated June 14, 2012, compromising the legality, propriety, and validity of the transaction.

a. We recommended that Management immediately submit the complete set of required documents related to the land acquisition for review and evaluation of the Audit Team, in strict compliance with the provisions of COA Circular No. 2012-001 dated June 14, 2012 to establish the legality, propriety, and validity of the transaction.

b. We also recommended that Management verify and establish the vendor's legal ownership of the property, in order to prevent the potential misuse or loss of public funds.

c. Further, we recommended that Management, for future transactions, refrain from processing any real property acquisition unless all required documentary and legal prerequisites have been fully complied with, to ensure accountability, transparency, and protection of the government's interests.

VII. Summary of Total Suspensions, Disallowances and Charges

The status of Suspensions, disallowances and charges as of December 31, 2024 is summarized as follows:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions	P 5,540,377.58	-	-	P 5,540,377.58	0%
Disallowances	4,233,556.04	-	-	4,233,556.04	0%
Charges	-	-	-	-	0%
Total	**P 9,773,933.62**	**-**	**-**	**P 9,773,933.62**	

VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2024 Annual Audit Report are summarized as follows:

Status of Implementation	Number	Percentage
Implemented	11	42.30%
Not Implemented	14	53.85%
Not Implemented and Reiterated in Part II of CY 2023 AAR	1	3.85%
Total	**26**	**100.00%**